PSS ACCEPTANCE 360

P04 — Build–Buy–Partner, Vendor & Contracting Assessment

Sourcing strategy, comparative commercial architecture, due-diligence and contracting framework

19 October 2026 | Version 1.0 | Confidential pre-appointment research | Decision status: DRAFT

PROPOSED DECISION

Do not select a supplier, launch an RFP or release a platform-build budget. First establish PSS asset rights, buyer requirements, security and regulatory scope, and evidence-backed total cost. Advance a reuse-first, modular hybrid as a TESTABLE sourcing hypothesis while preserving partner-led and no-new-investment alternatives.

Document control and interpretation

Control	Description
Document ID	PSS-A360-P04-001; Volume IV — Product, Architecture & Operating Model
Purpose	Determine how each proposed service capability should be obtained, operated, contracted and exited.
Depends on	S01 strategic case; S02 options; S03 PSS gaps; V02-V05 research; P01 requirements; P02 blueprint; P03 operating model.
Evidence cut-off	19 October 2026 public information and earlier project drafts. No internal pricing, supplier proposals or authority.
Authority	Prepared as a private pre-appointment draft. It is not a PSS policy, RFI/RFP, vendor shortlist, negotiated contract or legal opinion.
Approval needed	PSS Technology, Operations, Finance, Procurement, Legal, Risk/CISO, bank sponsor, and ExCo at applicable investment gates.

Executive sourcing conclusion

Acceptance 360 is best considered a series of separable operating capabilities, not one monolithic procurement. The first candidate release is PSS Operate + Connect: permissioned bank payment-evidence feeds, transaction observation, safe reconciliation, exception cases, service reporting, and reusable bank-specific adapters. PSS Pay, gateway and POS assets may be reused when the actual technical, contractual and regulatory scope allows. PSS Secure has a different card-not-present function. Grow and agent services remain out of scope.

A reuse-first hybrid is the provisional management hypothesis, not an evidence-backed procurement winner. It combines proven PSS-owned/reusable components with selective internal work, market-tested third-party packages or partner services, and independent performance and exit obligations. If the existing PSS Pay platform is a substantially cheaper commercial starting point, if a partner provides superior life-cycle value, or if banks will not pay for merchant operations, the recommendation must change.

1. Sourcing problem and decision unit

The appropriate unit of decision is the work package: interface adapter, operational evidence/journal, reconciliation/exception workflow, service portal, cross-cutting security/availability, or managed support. Grouping unlike elements into a single vendor award can obscure control obligations and create an avoidable switching penalty.

Work package	Scope and default route	Authority boundary
WP01 Core evidence & reconciliation	Reuse existing PSS capabilities if proven; otherwise internal-build versus specialist software competition.	Read/observe only. No payment execution or ledger posting.

Work package	Scope and default route	Authority boundary
WP02 CONNECT adapters	PSS-led interface standards; internal or contracted adapters under bank-approved agreements.	Bank/rail owner must authorise each feed.
WP03 Bank operations workspace	Configuration-led interface; compare configurable platform with bespoke development.	Tenant segregation; cases never approve financial remedies.
WP04 Security, data and resilience	Reuse enterprise controls only after scoped assurance; specialist services where justified.	PSS and banks retain non-delegable duties.
WP05 Support, migration, training	PSS-run service ownership with contracted specialist support if cost-effective.	Service levels, recovery, handover and documentation.
WP06 ACCEPT channels (conditional)	PSS Pay/POS/gateway integration or scheme-approved partner, separately gated.	No inferred SoftPOS approval or gateway rights.

2. Strategic sourcing alternatives

Code	Route	Value proposition	Main dependency / reason to reject
R1	Reuse PSS current stack	Potential lower incremental cost; retained control.	Code/data rights, real functionality, capacity, quality and support must be proven.
R2	PSS in-house development	Direct control, tailor to bank workflows.	Staffing, release operations, security assurance, time to value.
R3	PSS Trading delivery	Potential aligned delivery and local support.	Independent related-party diligence, capabilities, arm-length pricing and approvals.
R4	External licensed/COTS vendor	Potential implementation speed and mature functionality.	Integration fit, licence terms, security, FX and lock-in.
R5	Partner-managed service	Lower own-build footprint and faster pilot potential.	Financial institution responsibilities, data rights and service dependency.
R6	Modular hybrid	Use verifiable PSS assets plus selectively competed gaps.	Integration complexity, accountability fragmentation, contract coordination.
R0	No new platform / process improvements	Protect capital; improve bank processes with existing tooling.	May limit differentiation but is a mandatory comparator.

No alternative above has been scored or selected on actual quotations, licensing evidence, benchmarked costs or supplier demonstrations. PSS Trading is reported publicly as an enterprise affiliated with PSS and banks; actual ownership, corporate relationships, governance and procurement treatment must be confirmed from company records [S6].

3. Recommended competitive decision sequence

Stage	Work	Exit condition
0: Mandate	Approve bounded feasibility; conflict declarations; identify owners.	Authority and cost ceiling recorded; no public supplier solicitation assumed.
1: Internal fact base	Inventory code, licences, APIs, support, PSS Trading structure, contracts, personnel, hosting and costs.	S03/V05 evidence accepted; reuse rights and data limitations explicit.
2: Requirements freeze for comparison	Segment P01/P02/P03 baseline; define bank-specific acceptance criteria.	Buyer problem and likely price evidenced in V03; critical interfaces validated.
3: Neutral market consultation	Issue approved RFI under Procurement/Legal policy; include all qualified routes.	Comparable technical, legal and indicative commercial responses received.
4: Fit-gap and value challenge	Run scripted demonstrations, security review and five-year TCO.	No blocker remains unaddressed; scores and exclusions independently checked.
5: Conditional award recommendation	Negotiation plan, source-selection record, contracts, exit and transition design.	Formal ExCo / delegated approval; Legal and CFO sign-offs.
6: Pilot contract and service acceptance	Narrow, time-bound controls, bank data access, acceptance and termination rights.	Bank and PSS authorised pilot gate passed separately.

4. Evaluation methodology and hard stop rules

Hard eligibility gates apply before any weighted ranking. Candidate scores use a 0–5 evidence-based rubric: 0 = demonstrably fails; 1 = major gaps; 2 = partially meets; 3 = documented meets baseline; 4 = evidenced exceeds; 5 = independently tested superior. Missing evidence is left BLANK and cannot be converted to a neutral score. No arithmetic should rank an option with incomplete required evidence as procurement-ready.

Weighted dimension	Weight	Examples of proof
Functional and workflow fit	15%	P01 use cases; observed exceptions; demonstrated configuration
Security and data safeguards	15%	Scoped attestations, privacy map, audit logs, penetration evidence
Integration and interoperability	12%	Validated source API rights, bank adapter test, data export
Five-year ownership economics	15%	Comparable quoted ETB/FX basis; internal effort; full lifecycle
Time and implementation risk	10%	Resource loaded plan, dependencies and delivery evidence
Reliability and service continuity	10%	Recovery test, support model, critical-subcontractor mapping
Exit and supplier dependency	8%	Transition plan, data portability, source/escrow where warranted
Regulatory / scheme compatibility	8%	Legal mapping, licence conditions and certification scope
Bank commercial flexibility	7%	Contracted minimums, bank tailoring, price and termination rights

HARD GATES

Block progression when: authority or licence scope is unresolved; bank integration permission absent; unacceptable personal-data/card-data exposure; severe unmitigated security defect; prohibited fund/settlement authority assumption; ownership/IP rights not documented; independence/conflict controls absent; inability to exit or retrieve usable data; or no credible bank buyer for a build decision.

5. Five-year commercial model and FX diligence

Compare discounted five-year total cost at the same functional scope and deployment volume; separately show PSS cost, sponsoring-bank cost and joint life-cycle cost. Build quotation-adjustable scenarios (ETB, licensed foreign currency, FX and inflation); do not treat hypothetical volumes as signed demand. The companion workbook has intentionally BLANK vendor unit prices, one-time quotations and internal staff costs. Total costs and weighted scores only calculate when relevant inputs are supplied.

Cost block	Must include
Implementation	Analysis, integration, acceptance, migration, testing, certification, external consultancy
Run	Licence or subscription, infrastructure, personnel, support, monitoring, security, maintenance
Usage	Transactions, bank/merchant tiers, active users, interfaces, overage and storage
Compliance	Card/scheme obligations, security audits, privacy, legal/regulatory review
Commercial	FX exposure, escalation caps, taxes treatment, bank-specific change requests
Exit / failure	Data extract, knowledge transfer, replacement tooling, dual run, service interruption

Financial feasibility (F05) must determine whether bank-contracted recurring revenue exceeds the complete risk-adjusted cost of whichever sourcing path is selected. V03 bank willingness-to-pay is a gating input; a technically good vendor offer without bank demand is not investable.

6. PSS Trading and related-party safeguards

PSS Trading may be a qualified option, but PSS and any shareholder bank must independently establish the correct ownership, beneficial-interest and governing policy position. NBE Directive SBB/88/2024 addresses bank-related-party exposures and arm-length principles; whether and how it applies to particular PSS/PSS Trading transactions requires case-specific legal analysis. The directive cannot be assumed to create an automatic procurement exemption or award rule [S3].

- Obtain register of shareholders, directors, intercompany transactions, beneficial interests and applicable conflict declarations.
- Require an independent functional statement of work and same-stage evidence and cost comparison with eligible external alternatives.
- Use appropriate recusals, independent technical and financial review, delegated authority and recorded conflict decisions.
- If related-party award is permitted, record why that route delivers demonstrably better total value, plus enforceable performance, IP, data, subcontracting and termination terms.
- Do not infer production capability, pricing or exclusive rights from PSS Trading publicity.

7. Vendor due-diligence and reference checks

Diligence stream	Required evidence
Legal / identity	Entity registration, ownership, litigation/sanctions as applicable, tax, financial statements, insurance, country delivery status
Products / clients	Comparable bank-live deployments; reference consents; delivered features versus roadmap; product roadmap
Technology	Architecture diagram, sandbox API, test data, concurrency, integration logs, SLA reports and observability
Security / privacy	Specific AOC/assurance scope where relevant, incident history, subprocessor chain, encryption and residency mapping
Operations	Support team capacity, severity commitments, DR/BCP exercises, ticketing, language and time-zone coverage
Commercial	Itemised price schedule, FX index, inflation, overage, implementation rate cards, dependencies and assumptions
Exit / continuity	Export sample, migration test, source-code right/escrow if needed, knowledge transfer, deletion and transition assistance

8. Contract and sourcing controls — minimum schedules

Contract schedule	Minimum negotiated protections
A. Scope and acceptance	Specific P01 requirements, source permissions, synthetic acceptance tests, cure and reject rights
B. Responsibilities	P03 RACI alignment, critical subprocessors, customer complaints and regulator communication owners
C. Security and privacy	Lawful roles, data minimisation, security audits, incident response and demonstrable compliance status
D. Availability & DR	Defined SLOs/SLAs, RPO/RTO only after proof, evidence retention, vulnerability/remediation commitments
E. Pricing & changes	Comparable line items, caps, change controls, currency and withholding/tax advice
F. IP & data	Pre-existing IP disclosure, developed IP rights, tenant data ownership, permitted use, export formats
G. Exit and step-in	Termination triggers, recovery of usable records, transition window and cost, deletion/return proof
H. Oversight & disputes	Audit rights, supervisory access if applicable, dispute process, subcontractor flow-downs

PCI SSC states that use of third-party service providers does not remove the customer's PCI DSS oversight and responsibility obligations. Scope of the provider's security evidence must match the particular service; an unscoped statement of compliance is not sufficient [S4–S5]. Data processing and transfer arrangements require Legal mapping under Proclamation No. 1321/2024 [S2].

9. Worked procurement scenarios: decisions, not rankings

Test scenario	Likely comparison focus	What would change the decision
Bank already has reconciliation tooling	R0 optimisation versus R1 reuse and WP03 workflow layer	No bank savings or differentiated service -> stop
PSS journal and API software is reusable	R1 + small internal configuration versus R6 modular hybrid	Failing IP, quality or security test -> source component competitively
Unproven core but mature	R4 third-party versus R2 in-house and R3	Weak export/DR or FX economics -> reject

Test scenario	Likely comparison focus	What would change the decision
specialist solution	Trading	vendor
PSS Pay has active paying acquirers	PSS Pay-led extension versus R6	Demonstrated superior product economics -> change priority
Low demand / no authorised bank sponsor	R0 no investment / study extension	No supplier procurement, regardless of positive technical score

10. Verification programme and accountable approvals

Owner (proposed)	Must validate before procurement recommendation
RPB&D and sponsoring bank	Real user jobs, purchased functions, economic buyer, bank roadmap and contracted need
PSS Technology/Operations	Reuse demonstrations, architecture compatibility, integration, capacity, support and roadmap
Finance/CFO	Cost basis, five-year TCO, scenario stress and bank/PSS economic attribution
Procurement	Authority, vendor neutrality, tender/quote process, equal evidence treatment
Legal/Compliance	PSS and bank licence scope, data agreements, related-party applicability and contract enforceability
Risk/CISO	Independent threat model, supplier resilience, controls, incident duties and test acceptance
ExCo / delegated committee	Approved ceiling, sourcing/award/production decision and material exceptions

11. Pre-appointment notebook: prepare now vs after joining

Pre-appointment work — may be done now	After joining with authorisation
Build vendor-neutral RFI questions and acceptance scripts	Access real PSS contracts, asset inventory and documented licences
Maintain public-only supplier and standard research	Seek internal pricing, contract renewals, source/IP ownership and cost data
Prepare empty quotation, security and TCO templates	Run approved supplier consultations and reference calls
Compare sourcing strategies qualitatively	Execute bank integrations, PoCs and supplier security tests
Draft service agreement clause checklist	Negotiate or bind parties only under Procurement/Legal authority
Prepare fair conflict-of-interest assessment prompts	Record actual recusal and related-party decisions with counsel

No actual bank, PSS, supplier or investor approval has been obtained. The P04 workbook is an execution-ready comparison template, not a completed procurement, vendor ranking or investment appraisal.

12. Management disposition and next programme step

RECOMMENDATION

Endorse P04 for internal due diligence and RFI preparation only. Do not award PSS Trading or an external vendor by presumption. Require demonstrable bank value and controlled PSS reuse testing first; keep R0 no-new-platform decision live. Proceed next to F02 technical/security feasibility and F03 legal/regulatory feasibility protocols, while F05 ownership economics awaits real quotations and costs.

Annex A. Sources and claim status

Ref	Source / limitation
S1	NBE: PSO register — PSS historical licence; public register is not a complete view of new licence conditions | https://nbe.gov.et/payment-instrument-issuers-system-operators/
S2	Ministry of Justice: Personal Data Protection Proclamation 1321/2024 (in force) | https://justice.gov.et/en/law/personal-data-protection-proclamation/
S3	NBE: Exposure to Related Party Directive SBB/88/2024 (bank-focused; applicability must be verified) | https://nbe.gov.et/files/sbb-88-2024-related-party-transaction/
S4	PCI SSC FAQ 1312: third-party responsibilities and oversight | https://www.pcisecuritystandards.org/faqs/1312/
S5	PCI SSC FAQ 1065: scope-relevant supplier compliance evidence | https://www.pcisecuritystandards.org/faqs/1065/
S6	PSS Trading PLC profile (self-description; not audited ownership/capability) | https://www.linkedin.com/company/pss-trading-plc

Ref	Source / limitation
S7	World Bank Digital Finance: outsourcing risk and supplier lock-in (good-practice analogy) | https://digitalfinance.worldbank.org/topics/outsourcing/risk-assessment-and-monitoring-outsourcing-relationships
S8	World Bank ID4D procurement guidance: open standards, total costs and exit (non-binding analogy) | https://id4d.worldbank.org/guide/4-procurement
S9	PSS-A360 internal research drafts S01/S02/S03/P01/P02/P03/V02-V05; documentary hypotheses only | Internal project documents, prepared 18–19 October 2026

Annex B. Required approval record

Review	Name / date / signature	Position
RPB&D sponsor	_____	Not requested / pending
Chief Technology / Operations	_____	Not requested / pending
Chief Finance	_____	Not requested / pending
Head of Procurement	_____	Not requested / pending
Legal / Compliance	_____	Not requested / pending
CISO / Risk	_____	Not requested / pending
Bank sponsor	_____	Not requested / pending
ExCo / delegate	_____	Not requested / pending